

till September 2019, the liquidation process has started in as many as 587 cases. Thus, IBC has liquidated many more companies than it has resolved.

It should be noted that IBC has provided creditors and other stakeholders the ammunition to obtain the maximum value for stressed assets by shifting the balance of power from debtors. The IBC, undoubtedly, since the time of its enactment has evolved considerably. According to the World Bank, before IBC, the time taken to resolve stressed loans was 4.3 years and recovery rate was 26 per cent for financial creditors. There has been a marked improvement in the recovery process which is already leading to billions of dollars being invested in the country due to the protection of creditor rights.

In December 2019 the Union cabinet approved fresh amendments to the Insolvency and Bankruptcy Code (IBC) aimed at strengthening its functioning. The amendments seek to ring-fence assets of companies from offences committed by the previous management or promoters. The government should now step up its efforts to ensure that the promise of speedy resolution, one of the most appealing aspects of the IBC, is delivered upon.

A lot has been said and written on the IBC. Implementation of the IBC is a real challenge. This is an innovative law awaiting correct execution. In 2019, with the Supreme Court upholding the Insolvency and Bankruptcy Code (IBC) in its entirety, the resolution process will move faster now. The success of the ambitious IBC is dependent on its institutions like the regulator, the adjudicating authority and the professionals involved. Nevertheless, IBC 2016 is an evolving legislation, still being interpreted by courts and being constantly amended to harmonise IBC with our related legal policy.

Check Your Progress 5

- 1) The concept of IBC adopted in India. Highlight the importance of IBC.

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- 2) Point out the objectives and ecosystem of IBC.

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3) Discuss the working of IBC.

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8.13 LET US SUM UP

Public sector enterprises were considered necessary when they came into existence. The current thinking is that the reasons, howsoever plausible in the past, are no longer valid for the continued existence of the public sector. Disinvestment in public sector enterprises (PSEs) was proposed as a policy option during the initial phase of economic liberalisation in 1991. Privatisation means transferring control to a private party. This can be done with or without transferring ownership. Disinvestment, which is a form of ownership transfer, comes under the umbrella of privatisation. Disinvestment means no transfer of control even if public shareholding is diluted. The objectives of privatisation are: greater efficiency, revealing the true and full cost of the service provided, promotion of technological advancement, development of capital markets, broadening the wealth and achieving widespread private ownerships in society, raising extra-revenues for the government, and reducing the power of public employee unions.

The public Private Partnership (PPP) is an agreement between the government and the private sector for the purpose of provisioning of public services or infrastructure. With a common goal in mind the public and the private sector bring on their experiences and strengths resulting in the accomplishment of mutual objectives. Using the finances of the private firms to complete the PPP ventures has led to conservation of national and governmental resources. The PPPs are ensuring the effective utilisation of state assets in a manner that is productive as well as profitable. Infrastructure created using these partnerships is of a superior quality.

India lacked an ecosystem that encouraged dismantling of companies and sale of its divisions. Insolvency and Bankruptcy Code, 2016 is considered as one of the biggest insolvency reforms in the economic history of India. This was enacted for reorganisation and insolvency resolution of corporate persons, partnership firms and individuals in a time- bound manner for maximisation of the value of assets of such persons. In order to, realise the benefits of IBC, the time taken to find and implement resolutions has to come down drastically.

8.14 TERM-END EXERCISES

- 1) Explain the concept of privatisation. Provide an overview of the reasons for privatisation.
- 2) What are the methods of privatisation? Which methods are being followed in India? Examine the problems and prospects of privatisation in India.

- 3) What is disinvestment? What is the difference between privatisation and disinvestment? What conditions are needed for making disinvestment policy a success?
- 4) What do you mean by the concept of Public Private Partnership (PPP)? Which sector is most suitable for PPP policy?
- 5) What policy is being followed by the government of India regarding PPP? How has India benefited from PPP collaboration? Give concrete examples.
- 6) What precautions are needed for going to PPP agreement? Explain the challenges being faced by PPP projects in India?
- 7) Explain the concept of Insolvency and Bankruptcy Code (IBC). How can you distinguish between Insolvency and Bankruptcy? What factors propelled the enactment of IBC in India?
- 8) Describe the objectives, importance and salient features of IBC in India. Which are the components of eco-system to implement the IBC?
- 9) Discuss the working of IBC in India. What challenges are being encountered by IBC? How does government trying to meet such challenges?

8.15 KEY WORDS

Autonomy	: Autonomy is the capacity to make an informed and uncoerced decision. Autonomous organisations or institutions are independent or self-governing.
Corporatisation	: Corporatisation refers to the restructuring or transformation of a state-owned asset or organisation into a corporation. These organizations typically have a board of directors, management, and shareholders. However, unlike publicly traded companies, the government is the company's only shareholder, and the shares in the company are not publicly traded.
Cyclical Slowdown of Economy	: In simple words, a cyclical economic slowdown is a part of the business cycle having its peaks and troughs. The economy will be moving in cycles with periods of peak performance followed by a downturn and then a trough of low activity. These are expected to be short-term problems that could be addressed with an adequate mix of fiscal and monetary policies.
De-licensing	: De-licensing refers to the policy of opening the economy and abolishing government control by removing the earlier restrictions and licenses.
Fiscal Stabilisation	: Foremost among the techniques of stabilisation is fiscal policy. Fiscal policy as a tool of economic stability, however, has received its due importance under the influence of Keynesian